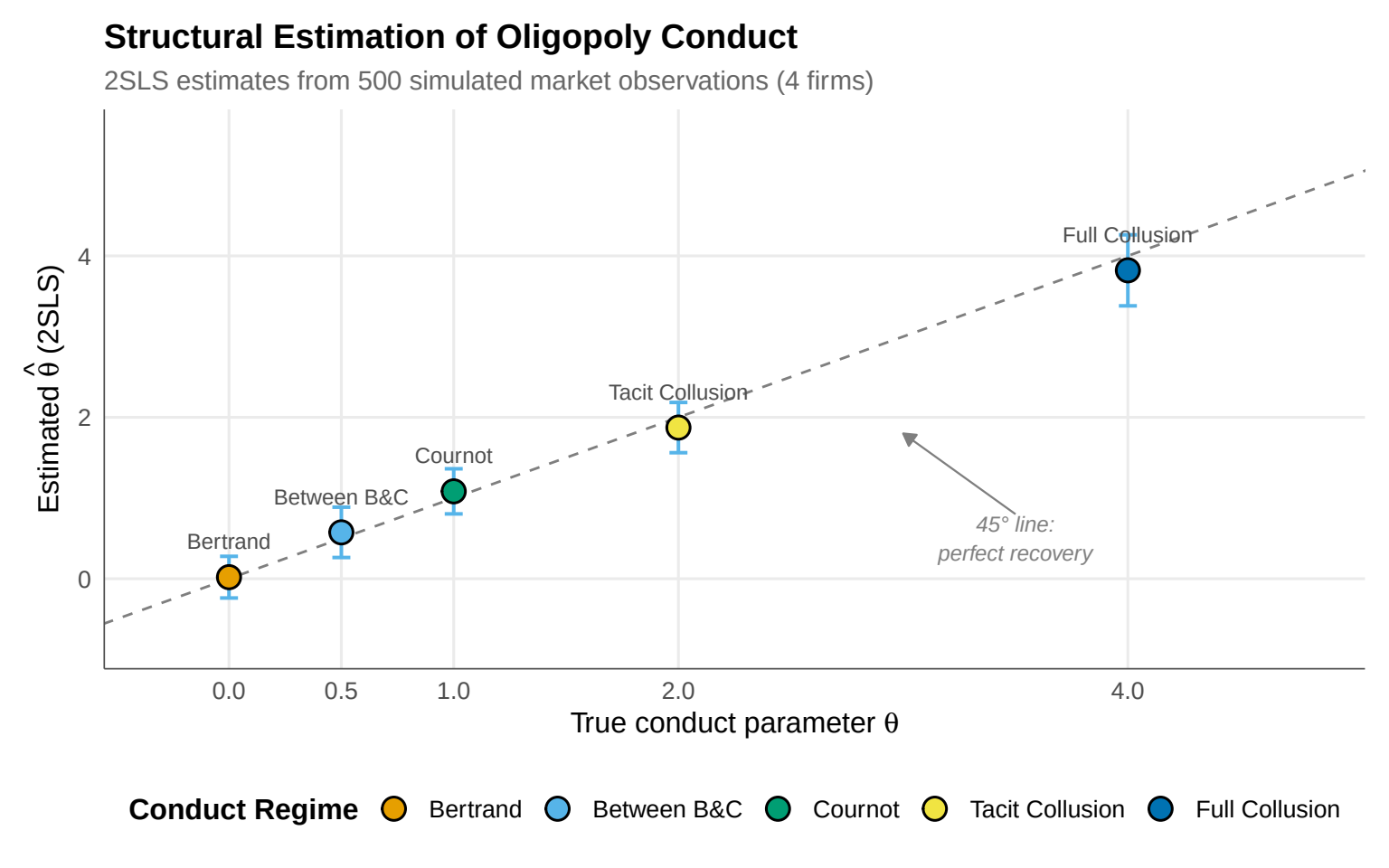
Structural Estimation of Oligopoly Conduct
2SLS estimates from 500 simulated market observations (4 firms)
Estimated θ̂ (2SLS)
True conduct parameter θ
0
2
4
0.0
0.5
1.0
2.0
4.0
Bertrand
Between B&C
Cournot
Tacit Collusion
Full Collusion
45° line:
perfect recovery
Conduct Regime
Bertrand
Between B&C
Cournot
Tacit Collusion
Full Collusion